

I learnt a lot watching Govindbhai at work. He would do his best to ensure that the market did not get the full picture of what his clients were up to. He would do that by executing half the trades on the BSE and the other half on the CSE. He would also keep shifting his positions between exchanges before smart traders could get wind of what was happening. Since he was dealing in large quantities, it was not always possible to camouflage the orders beyond a point. But he had a good strike rate, and that was what mattered most.

The Harshad Mehta-inspired rally may have petered out, but a couple of developments helped the market stabilize after the initial burst of selling. The first was the government's decision to abolish the Controller of Capital Issues, which allowed companies to price their issues as they chose; the second was SEBI's notification of guidelines for FIIs to invest in India.

With the wisdom of hindsight, one could say it was a mistake on the government's part to swing from one extreme to the other. The new regulator had no infrastructure to vet the companies that were rushing headlong into the stock market to raise money. Rules were yet to be formed, and the regulator was still learning. The premium asked by companies for the shares they were issuing to the public were not justified by their fundamentals at all. In fact, there was competition among companies to ask for the highest premium.

In the first place, many of the companies themselves were not sure what they were raising money for. Self-proclaimed merchant bankers offered to help companies raise equity capital for fat commissions.

Meanwhile, with the decks cleared for foreign investment in the stock market, FIIs started sending out reconnaissance teams to check out its potential. The representatives of these firms were put up at the Taj, Oberoi and other plush hotels. I was told a horde of brokers could be found in their lobbies on any day, waiting to make a pitch to these officials – derogatorily referred to as *goras* (white-skinned).

One Friday, post trading hours, I decided to check out for myself the stories about brokers falling over each other to curry favour with the foreign investors in the hope of getting business from them. I visited one of the five-star hotels where officials from one of the FIIs were cocooned. Sure enough, many of the high and mighty of Dalal Street were milling about in the lobby, awaiting their turn for an audience with the foreign officials. This